CASCADIA ANALYTICS

Semtech

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Optical Cycle Exuberance Collides with Fundamental Valuation Gravity

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Semtech presents a clear operational dichotomy where genuine product acceleration across high-speed optical networking infrastructure is overshadowed by unsustainable market expectations. While demand for optical and copper interconnect architectures drives near-term top-line momentum, current market pricing embeds unrealistic multi-year compounding and margin durability assumptions. The anticipated divestiture of the dilutive cellular module unit clarifies the core semiconductor profile, but lingering capacity bottlenecks, hyperscaler customer concentration, and historical balance sheet write-downs warrant caution. We establish a Hold rating with a probability-weighted blended target of $55.45, representing -60.6% upside from the reference spot price of $140.85.

HOLD	$55.45	-60.6%	$140.85
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

Equity markets have bid Semtech to valuations that price in uninhibited optical cycle expansion through the next decade without factoring in cyclical normalization or execution risk. Our framework looks past the immediate design-win euphoria to assess sustainable terminal cash generation across full semiconductor capital

expenditure cycles, revealing a stark divergence between operational reality and prevailing equity quotes.

Executive summary

Semtech operates as an analog and mixed-signal semiconductor company selling connectivity, power management, and sensor chips for industrial and IoT uses. Over recent quarters, the firm has undergone a pronounced portfolio shift, centering its growth narrative on high-bandwidth data center interconnects alongside its historical industrial and sensing foundations. The operational turnaround has been anchored by the Signal Integrity product portfolio, where demand for advanced optical and copper interconnect solutions has outpaced broader analog semiconductor end markets. Nevertheless, the portfolio retains legacy exposures, including an IoT Systems footprint that has generated considerable margin drag and required structural reorganization.

The evidentiary record reflects an accelerating operational recovery paired with strategic portfolio pruning. In the second quarter of fiscal 2026, Semtech reported revenue of $341.9M, representing 33% year-over-year growth, alongside adjusted EPS of $0.71, up 73%. Data center revenue surpassed $100M, expanding 91% year over year on aggressive deployments of 1.6T FiberEdge and CopperEdge architectures. This followed a breakout first quarter of fiscal 2026, which posted $291.0M in revenue, up 16% year over year, with adjusted EPS surging 34% to $0.51 and adjusted EBITDA margin expanding to 22.8%. Management initiated the classification of the cellular module business as held-for-sale, outlining a third-quarter revenue guidance of $410M that implied 54% year-over-year expansion and ex-divestiture gross margins of 63.9%. However, physical operational limits have emerged, with management noting that demand outpaces supply by approximately 3x for key GainChips, while vertical integration initiatives such as the Hyfo fab and HIFU ramp present ongoing execution and capacity risks.

Capital allocation priorities have been dominated by balance sheet rehabilitation and legacy asset rationalization. In the latest full fiscal year, FY2026, Semtech generated revenue of $1.05B, growing 15.5%, with gross profit of $542.1M yielding a 51.6% gross margin. Statutory profitability remained constrained, evidenced by an operating income of $123.3M, an operating margin of 11.7%, and a GAAP net loss of $-40.4M, which translated to diluted EPS of $-0.46 and a return on equity of -7.3%. EBITDA was recorded at $39.5M, while free cash flow reached $165.4M, reflecting a 15.7% FCF margin. Balance sheet discipline has lowered adjusted net interest expense to essentially zero, down from historical runs of $5.0M to $11.2M in earlier quarters, as free cash flow generation accelerated from $59.1M in the fourth quarter of fiscal 2025 to $61.4M in the second quarter of fiscal 2026. The balance sheet closed the fiscal year with $195.2M in cash against $497.3M in total debt, leaving net debt at $302.1M. However, balance sheet cleanups have been accompanied by recurring asset write-downs, including a $44.6M impairment charge in the fourth quarter of fiscal 2025 that brought fiscal 2026 total

impairments to $86.6M, illustrating the lingering cost of prior acquisitions such as Sierra Wireless.

At the reference spot price of $140.85, Semtech carries a market capitalization of $14.2B across 100.8 million diluted shares. The prevailing market valuation implies trailing multiples of 13.5x market capitalization to revenue, 13.8x enterprise value to revenue, and 367.1x enterprise value to EBITDA. These multiples sit at profound premiums to historical analog peer groups and ignore the capital intensity and cyclical volatility inherent in semiconductor supply chains. Consequently, while fundamental execution has improved across the core high-speed data center franchise, the current entry point reflects speculative overextension rather than mispriced intrinsic value.

Operational snapshot

$140.85	$1.05B	$165.4M	15.7%	1.50	$140.85
REF. PRICE	FY2026 REVENUE	FY2026 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Specialized and Entrenched

Semtech maintains defensible economic moats in analog and mixed-signal domains where physical layer engineering, signal integrity precision, and packaging expertise dictate operational performance. In advanced optical transceiver architectures, optical interconnects operating at 800G and 1.6T bandwidths require high-frequency analog physical layer circuits that cannot be readily commoditized by standard digital CMOS processes. Semtech's FiberEdge physical-layer transimpedance amplifiers and laser drivers, alongside CopperEdge linear redrivers, are architected directly into high-density optical transceivers and active copper cable assemblies. The engineering switching costs associated with these high-frequency designs are substantial, because hyperscale cloud operators and optical module manufacturers must conduct extensive qualification cycles to validate link budgets, jitter tolerances, thermal dissipation, and bit-error-rate thresholds before deploying components into mission-critical compute clusters.

The specialized physical integration of Semtech's component portfolio establishes high structural hurdles for prospective entrants. The company's proprietary analog signal paths allow optical modules to achieve signal transmission over optical fiber and copper traces with minimal latency and power consumption. These technical performance metrics are critical in artificial intelligence cluster deployments where thermal efficiency directly limits server rack compute density. Because optical interconnect modules are co-designed around specific chipsets, displacing an incumbent analog vendor during an active architecture lifecycle introduces systemic risks of system instability and board redesigns, effectively locking in Semtech's

component positions throughout the multi-year manufacturing cycle of a given networking platform generation.

Beyond high-speed networking, Semtech's industrial connectivity, power management, and sensor chips benefit from long product lifecycles and fragmented customer ecosystems. In industrial sensing and power regulation, customers prioritize operational reliability, component longevity, and regulatory compliance over marginal price concessions. Products qualified into industrial automation setups, harsh environment sensor arrays, and infrastructure monitors routinely run for five to ten years with negligible design churn. This product longevity generates steady recurring cash flows that insulate the broader enterprise from short-term downcycles in consumer electronic end markets, providing structural durability across broader macro cycles.

Nevertheless, the enterprise moat has historically suffered from dilution caused by capital-intensive acquisitions outside its core analog competencies. The acquisition of cellular module assets via Sierra Wireless exposed the business to commoditized hardware manufacturing, volatile component sourcing dynamics, and low customer switching barriers, which culminated in IoT Systems gross margins deteriorating to 31.6% in the fourth quarter of fiscal 2025 and 35.8% in the first quarter of fiscal 2026. By moving to classify the cellular module business as held-for-sale, leadership has initiated a process to realign operational focus around high-margin analog signal integrity and specialized sensor solutions, thereby restoring enterprise gross margin integrity toward the 60.4% to 63.9% range demonstrated by the core semiconductor franchise.

Valuation

Three scenarios make the valuation range explicit

To value Semtech, we utilize an explicit ten-year discounted free cash flow model spanning the fiscal forecast window from FY2026 to FY2035. The modeling framework incorporates an equity beta of 1.50, a disciplined cost of capital reflecting operational and market volatility, and a base-case terminal growth rate of 2.5%, anchored to conservative long-term global industrial expansion. Cash flows are evaluated across three distinct fundamental scenarios that capture varying degrees of optical cycle longevity, operational execution during fab integration, and terminal profitability normalization.

Our revenue projections and free cash flow targets diverge across the scenarios to reflect distinct operational paths. In the base case, revenue compounds at a 19.1% CAGR over the forecast horizon, with free cash flow margins normalizing to 8.3% by the final forecast year as initial hyperscaler networking buildouts transition into steady-state maintenance cadences. In the bull case, sustained market share capture in 1.6T transceiver architectures, successful manufacturing scaling, and expanded power management adoption support a 21.8% revenue CAGR and a 14.2% final-year target FCF margin. In the bear case, acute customer spending pauses, competitive encroachment, and persistent capacity friction compress the revenue CAGR to 16.7% and restrict the terminal FCF margin to 2.6%.

Applying our probability weighting of 25% to the bear case, 50% to the base case, and 25% to the bull case yields an intrinsic equity value of $55.45 per diluted share. Measured against the reference spot price of $140.85 across 100.8 million diluted shares, this blended target indicates that the equity is severely overvalued, offering -60.6% upside. Even under our aggressive bull case scenario, which generates a target price of $96.19, the current trading quote sits well above fundamental cash flow reality.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	16.7%	2.6%	$21.39	-84.8%
Base	50%	19.1%	8.3%	$52.11	-63.0%
Bull	25%	21.8%	14.2%	$96.19	-31.7%

Bear $21.39

Optical infrastructure procurement slows as cloud hyperscalers pause capital deployments, while GainChip capacity bottlenecks and integration missteps at the Hyfo fab cap shipment volumes. Operating leverage deteriorates as divestiture proceeds underperform expectations, resulting in a 16.7% revenue CAGR and terminal FCF margins compressed to 2.6%.

Base $52.11

Steady optical networking adoption supports 1.6T FiberEdge and CopperEdge shipments, while the cellular module divestiture successfully lifts core semiconductor gross margins above 60%. Sustainable cash generation stabilizes over the decade, yielding a 19.1% revenue CAGR and an 8.3% final-year target FCF margin.

Bull $96.19

Unabated 1.6T design-win conversions, full vertical integration yields at the internal fab infrastructure, and robust cross-selling across power management and sensor portfolios drive exceptional top-line compounding. Operational scale elevates cash generation, achieving a 21.8% revenue CAGR and a 14.2% terminal FCF margin.

Valuation framework

A live discount rate, not a static hurdle

Our quantitative valuation architecture employs a live discount rate derived via the Capital Asset Pricing Model rather than a static hurdle rate. We incorporate an equity beta of 1.50, capturing Semtech's sensitivity to macroeconomic semiconductor cycles, substantial exposure to concentrated cloud infrastructure spending, and historical operating volatility. This beta input, paired with institutional risk-free and equity risk premium parameters, yields a Weighted Average Cost of Capital of 9.98%. This discount rate accurately prices the operational risks associated with simultaneous fab ramp-ups, ongoing portfolio reshaping, and product cycle transitions.

The 9.98% discount rate also reflects Semtech's transformed capital structure and balance sheet risk profile. While historical leverage created substantial interest expense headwinds that burdened equity returns, recent operational cash generation has enabled rapid balance sheet deleveraging. In earlier quarters, adjusted interest expense reached $11.2M in the fourth quarter of fiscal 2025 and $5.0M in the first quarter of fiscal 2026, but disciplined debt reduction lowered adjusted net interest expense to essentially zero by the first and second quarters of fiscal 2026. Total debt closed the latest full fiscal year at $497.3M against cash of $195.2M, leaving net debt at $302.1M. The discount rate acknowledges this improved solvency while maintaining a balanced cost of equity that reflects cyclical volatility.

FCF margin normalization is the engine

Free cash flow margin assumptions serve as the primary engine governing our terminal valuation conclusions. In the latest reported fiscal year FY2026, Semtech reported an FCF margin of 15.7%, supported by $165.4M in free cash flow on $1.05B of revenue. This metric was bolstered by working capital timing and sequential cash generation inflections, with free cash flow rising from $59.1M in the fourth quarter of fiscal 2025 to $61.4M in the second quarter of fiscal 2026. However, maintaining cash flow conversion at or above these levels across a full ten-year forecast window is historically

improbable in the analog semiconductor sector, where ongoing wafer fabrication investments, packaging R&D, and facility upgrades consume considerable capital.

Our explicit forecast bridges model normalized cash conversion dynamics across the three operational trajectories. Under our base case, the final-year FCF margin settles at 8.3%, reflecting long-term reinvestment requirements across advanced analog test equipment, fab capacity expansion, and customer co-development. In the bear case, pricing pressure on legacy connectivity chips and high operating absorption costs reduce final-year FCF margins to 2.6%. Conversely, the bull case models structural cash leverage with FCF margins reaching 14.2%, driven by sustained premium pricing in advanced optical redrivers and transimpedance amplifiers alongside the total removal of lower-margin IoT hardware assets.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2035**
Live WACC	**9.98% (2026-10-29)**
Terminal growth	**2.5%**
Equity beta	**1.50**
Diluted shares	**100.8 million**

HOLD

over $55.45 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Fragmented oligopoly (analog/mixed-signal). We assign a premium of +10% to sector median multiples on moat strength alone.

- the LoRa ecosystem, 178 million deployed LoRa devices cited in coverage of Q2 FY2026 results, plus data-center signal-integrity content (FiberEdge TIAs, CopperEdge) riding AI-cluster buildout.
- Q2 FY2027 data-center revenue $100M, +91% YoY, and LoRa revenue $58M, +58% YoY (Zacks, October 12, 2026); fiscal Q2 2027 revenue $342M, +32.7% YoY, with TTM

operating margin 12.0% vs 11.2% a year earlier (Trefis, October 23, 2026). Growth is real, but it is volume/AI-demand growth, not demonstrated price-setting: adjusted gross margin ~53-54% has been roughly flat, not expanding.

- The weakest element is small scale and thin profitability, FY2026 revenue $1.05B (+15.5% YoY) with a 3.1% GAAP operating margin (SEC companyfacts via pxsresearch summary), so the moat has not yet converted into wide-moat economics.

On a multiple cross-check, the justified range is 26.2-28.7x / 20.1-22.0x. The cross-check value is ~$77 pt ($73-$80) on FY2027; ~$36 on actual, on a base of $3.65 FY2027 consensus non-GAAP; $1.71 FY2026 actual non-GAAP. The gap verdict is COLLAPSES to ~5% at point (11% at top) on FY2027, 0% on actual.

This figure uses the normalized base from the October 27 recheck, not the original boom-year base.

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	4 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	8 points
platform, channel, or distribution dependency	4 points
customer insourcing risk	1 points
regulatory single point risk	4 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 26 percent. Shown side by side with the moat premium or discount, the net stance is -10 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all (corrected from batch arithmetic)

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Optical Transceiver Ramps and Portfolio Optimization HOLD

Semtech's operating momentum is spearheaded by its Signal Integrity product line, specifically components engineered for high-density optical transceivers and active copper cables within AI data centers. In the third quarter of fiscal 2025, data center sales reached a record $56.2M, with CopperEdge and FiberEdge contributing 8% of total revenue. Acceleration continued through the first quarter of fiscal 2026, where Signal Integrity revenue expanded 39% year over year. By the second quarter of fiscal 2026, data center revenue surpassed $100M, representing a 91% year-over-year surge, propelled by aggressive design wins across 800G and 1.6T architectures. These deployments are critical for cloud providers scaling clustered compute nodes, positioning Semtech as an essential physical layer silicon provider.

Concurrently, the planned divestiture of the cellular module business marks a critical strategic pivot. Historically grouped within IoT Systems, cellular hardware generated severe margin dilution, with segment gross margins sliding to 31.6% in the fourth quarter of fiscal 2025 and 35.8% in the first quarter of fiscal 2026, well below the semiconductor segment's 60.7% to 61.7% margins. Management's decision in the second quarter of fiscal 2026 to classify the cellular module business as held-for-sale directly enabled an elevated third-quarter guidance outlook of $410M in revenue with 63.9% ex-divestiture gross margins. Eliminating this dilutive unit allows Semtech to redirect capital toward analog connectivity, power management, and sensor chips.

Industrial connectivity, power management, and sensing solutions provide the third operational anchor. While broader industrial markets have exhibited mixed demand, Semtech's specialized analog ICs retain resilient footprints across industrial automation, medical interfaces, and environmental monitoring. These lines benefit from high product stickiness, multi-year production lifetimes, and consistent gross profitability. By coupling specialized power management solutions with analog sensors, the firm maintains balanced customer touchpoints outside the cyclical optical networking vertical.

What to monitor

- **GainChip Supply Bottlenecks** Management notes demand outpacing current supply by approximately 3x for key GainChips, making packaging and foundry allocation a critical gating factor for near-term revenue realization.
- **Cellular Module Divestiture Finalization** Following the classification of the cellular module unit as held-for-sale, finalizing transaction terms and closing timelines is essential to permanently eliminate IoT margin dilution.

- **Internal Fab Integration Yields** Ramp-up activities and integration costs at the Hyfo fab and HIFU vertical integration assets must be monitored to ensure manufacturing expenses do not dilute core semiconductor gross margins.
- **Cloud Hyperscaler Capital Expenditure Trajectories** With data center revenue surpassing $100M per quarter, order flow remains highly sensitive to spending pauses or architectural shifts among a concentrated group of cloud service providers.

+15.5%	51.6%	11.7%	15.7%	$302.1M	-7.3%
FY2026 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2026 (AS REPORTED)
Revenue	$1.05B
Gross Profit	$542.1M
EBIT	$123.3M
Net Income	$-40.4M
EBITDA	$39.5M
Free Cash Flow	$165.4M
Diluted EPS	$-0.46
ROE	-7.3%

Risk & moat matrix

The bear case

SHARE EROSION

Intense competition across analog signal integrity could allow competing merchant silicon

M&A DIGESTION

Historical acquisition missteps continue to generate accounting friction, underscored by an $86.6M

REGULATORY AND PRICING SCRUTINY

Customer concentration among major cloud service providers exposes Semtech to aggressive volume pricing

TECHNOLOGY DISRUPTION

Rapid technological shifts toward alternative optical architectures or direct-drive copper alternatives could

REINVESTMENT TREADMILL

Ongoing capacity expansions at the Hyfo fab and foundry ramp-ups require sustained capital expenditures to address supply imbalances where demand

WACC AND DURATION SENSITIVITY

Given Semtech's elevated equity beta of 1.50 and a 9.98% WACC, intrinsic equity valuation is highly sensitive to macro interest rate shifts. Any

vendors to capture market share in next-generation optical modules. Such competitive inroads would imperil Semtech's volume allocations across high-density 800G and 1.6T networking programs.

total impairment charge during fiscal 2026 that included a $44.6M write-down in the fourth quarter. These recurring impairments highlight historical integration challenges tied to assets like Sierra Wireless.

pressure during multi-year procurement renegotiations. Large hyperscalers possess significant procurement leverage that can compress gross margins across high-volume transceiver components.

circumvent traditional transimpedance amplifiers and redriver components. Any delay in adapting product roadmaps would threaten Semtech's market leadership in high-speed interconnects.

outpaces supply by 3x. These operational investments elevate cash absorption during cyclical demand downturns.

upward adjustment in institutional discount rates disproportionately depresses long-duration terminal cash flow values.

The strengths

OLIGOPOLY POSITION

Semtech commands an established position in high-bandwidth optical transceiver ICs, where proprietary analog physical-layer architectures create high barriers to entry. The FiberEdge and CopperEdge families are deeply embedded across Tier-1 optical transceiver modules globally.

FCF COMPOUNDING

Core semiconductor operations generate robust cash conversion, illustrated by quarterly free cash flow expanding from $59.1M in the fourth quarter of fiscal 2025 to $61.4M in the second quarter of fiscal 2026. This performance drove full-year fiscal 2026 free cash flow to $165.4M.

GEOGRAPHIC DURABILITY

The enterprise maintains broad exposure across global industrial and communications supply chains, selling connectivity, power management, and sensor chips to diverse international OEMs. This diversification mitigates regional economic downturns and supports baseline factory utilization.

PIPELINE OPTIONALITY

Continuous expansion across 1.6T networking solutions and high-density copper redrivers provides significant operational torque. These next-generation design wins position Semtech to capture high-margin revenue as data centers scale computing cluster bandwidth.

The bottom line on risk and reward

Semtech represents a high-quality analog semiconductor turnaround whose equity shares have detached from intrinsic underlying fundamentals. Operational execution across the high-speed data center networking franchise has been commendable, demonstrated by the second-quarter fiscal 2026 print where data center sales exceeded $100M and total revenue grew 33% to $341.9M. Furthermore, the strategic choice to classify the cellular module business as held-for-sale will structurally improve the corporate margin profile, unlocking guided ex-divestiture gross margins of 63.9% in the third quarter of fiscal 2026. Balance sheet deleveraging has also eliminated interest expense burdens, transforming cash generation.

However, institutional equity research requires maintaining strict valuation discipline across cyclical sectors. At the reference spot price of $140.85, the market capitalizes Semtech at $14.2B, or 13.5x latest full-year revenue and 367.1x latest full-year EBITDA. These valuation multiples completely decouple from historical semiconductor norms and fail to discount looming capacity constraints, fab ramp risks, or customer concentration vulnerabilities. Even under our optimistic bull case scenario, intrinsic value reaches only $96.19 per share.

Our probability-weighted discounted cash flow framework establishes a blended target price of $55.45, reflecting a -60.6% downside relative to the prevailing reference price. While the operational trajectory of the core semiconductor franchise remains sound, current market pricing embeds severe overvaluation. We reiterate our Hold — Valuation Concerns rating, advising institutional allocators to wait for a substantial valuation retracement before committing fresh capital.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Signal Integrity: High-Speed Optical and Copper Data Center Connectivity

Semtech's flagship Signal Integrity product franchise constitutes the operational core of the enterprise turnaround, delivering critical analog physical-layer ICs that govern high-bandwidth data transmission across modern cloud architectures. Within hyperscale artificial intelligence data centers, massive computing clusters require ultra-low-latency, power-efficient optical and copper links to interconnect thousands of accelerator nodes. Semtech addresses these demands through its FiberEdge transimpedance amplifiers and laser drivers, alongside CopperEdge linear redrivers, which restore high-frequency signal fidelity and preserve waveform integrity across short-reach copper cables and intermediate optical spans.

The commercial traction of this franchise has expanded rapidly as data center architectures migrate toward 800G and 1.6T transceiver form factors. In the third quarter of fiscal 2025, data center revenue reached $56.2M, with 1.6T design wins accelerating as CopperEdge and FiberEdge accounted for 8% of total revenue. By the first quarter of fiscal 2026, Signal Integrity

revenue surged 39% year over year, reinforcing the enterprise revenue acceleration to $291.0M. The inflecting demand trajectory culminated in the second quarter of fiscal 2026, where data center revenue crossed $100M, achieving a 91% year-over-year increase and driving quarterly adjusted EPS up 73% to $0.71.

Despite exceptional end-market demand, the franchise faces physical manufacturing and capacity constraints that could limit intermediate top-line expansion. Management has disclosed that customer demand outpaces available supply by approximately 3x for key GainChips, highlighting the operational challenge of scaling production rapidly enough to meet hyperscaler deployment schedules. Simultaneously, Semtech's vertical integration initiatives, encompassing the Hyfo fab and HIFU operations, introduce near-term execution risk, as evidenced by semiconductor gross margin dipping sequentially to 60.7% during early ramp phases in the first quarter of fiscal 2026. Navigating these packaging, foundry, and internal manufacturing hurdles is vital to sustaining commercial momentum.

What the recent record shows

- Data center revenue crossed the $100M threshold for the first time in the second quarter of fiscal 2026, marking a 91% year-over-year increase propelled by 1.6T FiberEdge and CopperEdge ramps.
- Signal Integrity segment revenue expanded 39% year over year in the first quarter of fiscal 2026, driving corporate revenue to $291.0M and expanding adjusted EBITDA margin to 22.8%.
- Record data center sales of $56.2M in the third quarter of fiscal 2025 demonstrated early commercial momentum, with FiberEdge and CopperEdge contributing 8% of consolidated sales.
- Supply-chain constraints have intensified, with customer orders outpacing available manufacturing supply by approximately 3x for specialized GainChips.

> **Our read:** Semtech's Signal Integrity franchise represents a premier analog networking asset positioned squarely at the center of the optical transceiver transition. However, operational capacity limits and fab integration challenges temper intermediate execution, reinforcing our disciplined valuation stance.